

Commercial Performance & Profitability Diagnostic

Final Deliverable - Commercial & Profitability Diagnostic

Advanced portfolio analysis using a constructed but internally consistent 12-month operating dataset for a B2B services company. The figures demonstrate the diagnostic method and management decision framework without representing a real client engagement.

Annual revenue	640.000 €
Gross profit	232.260 €
Gross margin	36,3%
Improvement opportunity	46.000 € annualized

1. Executive Diagnosis

The company generated 640.000 € in annual revenue and 232.260 € in gross profit, equivalent to a 36,3% gross margin. Revenue performance is commercially healthy, but profitability is diluted by low-margin custom work, inconsistent discounting and concentration in a small number of accounts.

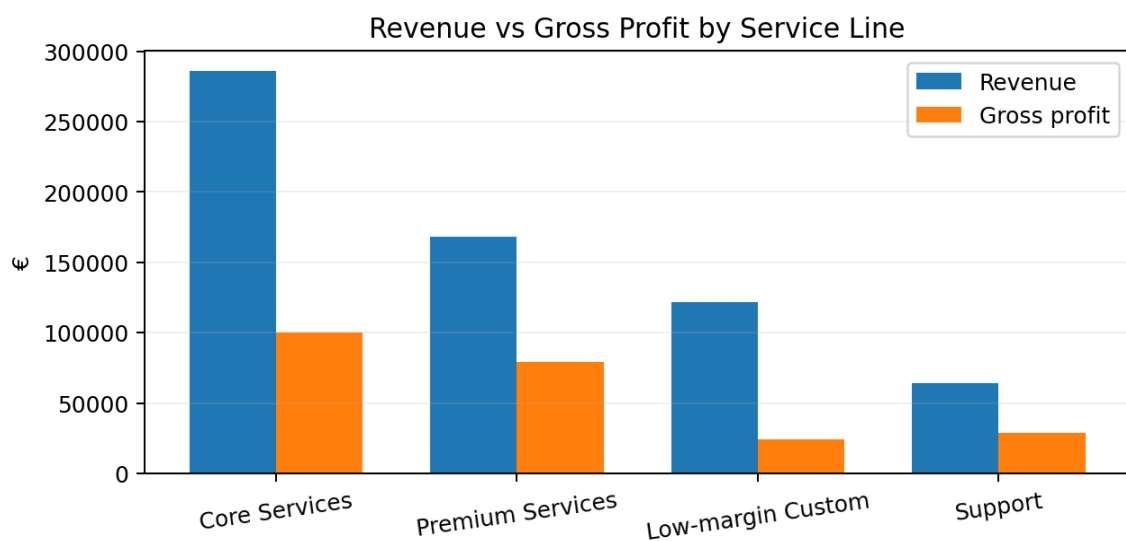
The diagnostic identified an estimated 46.000 € annualized profit-improvement opportunity without requiring equivalent revenue growth. The largest gains come from repricing low-margin work, controlling discount exceptions and shifting commercial effort toward higher-contribution services and customers.

640K €	36.3%	58%	46K €
Annual revenue	Gross margin	Revenue from top 10 clients	Profit opportunity

2. Service-Line Profitability

Core Services remain the largest revenue contributor, but Premium Services produce the strongest margin quality. Low-margin Custom Work accounts for 19,1% of revenue while contributing only 10,5% of gross profit.

This mismatch indicates that revenue alone is overstating the value of the custom-work segment. Management should protect premium capacity and either reprice, standardize or selectively decline custom engagements below the minimum margin threshold.

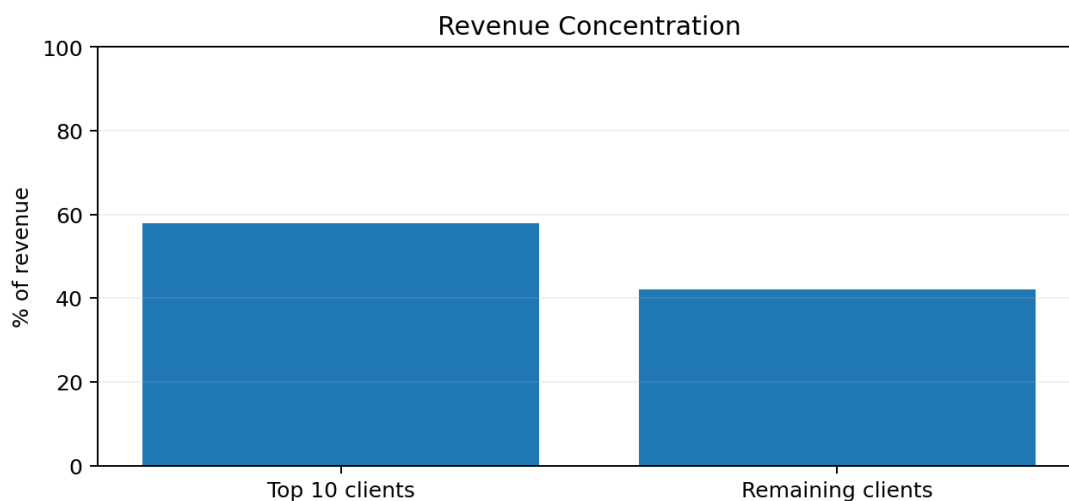


Service line	Revenue	Gross profit	Gross margin
Core Services	286.000 €	100.100 €	35,0%
Premium Services	168.000 €	78.960 €	47,0%
Low-margin Custom	122.000 €	24.400 €	20,0%
Support	64.000 €	28.800 €	45,0%

3. Customer Profitability & Concentration

The top 10 customers generate 58% of annual revenue. Concentration is manageable but requires active monitoring because three large accounts also receive above-average discounts.

Customer analysis separates accounts into four management groups: Protect, Grow, Reprice and Review. The objective is not to remove lower-value customers automatically, but to align service effort, pricing and commercial attention with economic contribution.



Segment	Accounts	Commercial action
Protect	High revenue / high margin	Retention, service quality, selective cross-sell
Grow	Medium revenue / strong margin	Increase share of wallet
Reprice	High activity / weak margin	Reset pricing, scope and discounts
Review	Low revenue / low margin	Standardize, automate or exit selectively

4. Pricing Leakage

Discount analysis indicates that approximately 41.000 € of annual list-price value is given away through discounts and commercial exceptions. Not all discounting is avoidable, but roughly 18.500 € is classified as addressable leakage because it is not linked to volume, contract length or strategic account value.

A simple approval rule is recommended: discounts above 8% require documented commercial justification, while work expected to fall below 30% gross margin requires management approval before proposal submission.

5. Profit Improvement Model

The improvement plan does not assume aggressive top-line growth. It focuses on recovering margin from existing activity through four actions: repricing custom work, reducing unstructured discounts, increasing Premium Services mix and tightening delivery scope.

Action	Annualized impact	Management logic
Reprice low-margin custom work	+18.000 €	Raise floor margin and remove underpriced exceptions
Discount control	+11.000 €	Recover part of addressable leakage
Shift mix toward premium	+10.000 €	Prioritize higher-contribution sales
Scope and delivery control	+7.000 €	Reduce unbilled effort and overruns
Total opportunity	+46.000 €	Before tax and implementation effects

6. Management KPI Scorecard

The management view should prioritize profitability quality rather than revenue alone. A monthly scorecard is recommended with clear thresholds and owners.

KPI	Current	Target
Gross margin	36,3%	40%+
Premium Services share	26,3% of revenue	30%+
Low-margin custom share	19,1% of revenue	< 12%
Unstructured discount leakage	18.500 € annualized	< 7.500 €
Top 10 client concentration	58%	< 60%
Projects below 30% margin	14%	< 5%

7. 90-Day Management Plan

Days 1-30 - Control: introduce margin floor, discount approval and service-level profitability review. Flag all open engagements expected to close below 30% gross margin.

Days 31-60 - Reprice: redesign low-margin custom offers, update proposal templates and renegotiate selected recurring accounts at renewal or next scope change.

Days 61-90 - Shift mix: focus sales activity on Premium Services and profitable Core Services, track customer contribution monthly and reduce effort allocated to Review accounts unless economics improve.

8. Final Recommendation

IMPROVE PROFIT QUALITY BEFORE CHASING ADDITIONAL REVENUE. The business does not have a primary sales-volume problem. It has a revenue-quality problem concentrated in custom work, discount exceptions and inconsistent commercial controls.

Management should target gross margin above 40% before materially increasing fixed sales or delivery capacity. If the proposed actions recover the modelled 46.000 € annualized opportunity, operating leverage improves without requiring the company to add the same amount of new revenue.